CONFIDENTIALITY AGREEMENT

Date: *1 June 2025*

BETWEEN

(1) *Hartstem Technologies Ltd., a company incorporated in England and Wales (company number 08421573), whose registered office is at Cannon Place, 78 Cannon Street, London EC4N 6AF, United Kingdom ("Hartstem"); and*

(2) *ABC GmbH, a company organised under the laws of the Federal Republic of Germany, with its registered office at ABC-strasse 42, 80339 Munich, Germany ("ABC").*

Each a "Party" and together the "Parties."

RECITAL

The Parties intend to enter into discussions and negotiations concerning a potential collaboration in the field of advanced sensor technologies and industrial IoT applications (the "Permitted Purpose"). In the course of such discussions, each Party may disclose to the other certain information of a confidential nature. The Parties wish to record the terms upon which such information shall be disclosed and received.

IT IS AGREED AS FOLLOWS:

Clause 1 — Interpretation

1.1 *In this Agreement, unless the context otherwise requires, the following expressions shall have the following meanings:*

"Confidential Information" *means all information (whether written, oral, visual, electronic, or in any other form) disclosed by or on behalf of one Party (the "Disclosing Party") to the other Party (the "Receiving Party") in connection with the Permitted Purpose, including without limitation:*

(a) technical information, know-how, designs, drawings, specifications, formulae, and prototypes;

(b) commercial information, including business plans, financial information, customer and supplier details, pricing structures, and marketing strategies;

(c) information relating to the Disclosing Party's officers, employees, or agents; and

(d) any analyses, compilations, studies, summaries, or other documents or records prepared by the Receiving Party which contain, reflect, or are derived from any of the foregoing.

"Permitted Recipients" *has the meaning given in Clause 3.*

"Representatives" *means, in relation to a Party, its directors, officers, employees, agents, and professional advisers.*

1.2 *References to Clauses and Schedules are to clauses of, and schedules to, this Agreement.*

1.3 *The headings in this Agreement are for convenience only and shall not affect its interpretation.*

1.4 *Words importing the singular shall include the plural and vice versa, and words importing a gender shall include all genders.*

Clause 2 — Obligations of Confidentiality

2.1 *The Receiving Party undertakes to the Disclosing Party that it shall:*

(a) keep the Confidential Information strictly confidential;

(b) not disclose the Confidential Information to any person other than in accordance with Clause 3;

(c) use the Confidential Information solely for the Permitted Purpose and for no other purpose whatsoever;

(d) apply to the Confidential Information no lesser degree of security and protection than the Receiving Party applies to its own confidential information of a similar nature (and in any event no less than that which a reasonable and prudent businessperson would apply); and

(e) not copy or reproduce the Confidential Information except as strictly necessary for the Permitted Purpose.

Clause 3 — Permitted Disclosure

3.1 *The Receiving Party may disclose Confidential Information to those of its Representatives who strictly need to receive and consider the Confidential Information for the Permitted Purpose (the "Permitted Recipients"), provided that:*

(a) the Receiving Party informs each Permitted Recipient of the confidential nature of the Confidential Information before disclosure;

(b) each Permitted Recipient is bound by obligations of confidentiality no less onerous than those set out in this Agreement; and

(c) the Receiving Party shall at all times remain responsible for any breach of this Agreement by any of its Permitted Recipients.

3.2 *Disclosure to any Affiliate of the Receiving Party shall require the prior written consent of the Disclosing Party and shall be subject to the Affiliate entering into a direct confidentiality undertaking with the Disclosing Party in a form reasonably satisfactory to the Disclosing Party.*

Clause 4 — Exceptions

4.1 *The obligations contained in Clause 2 shall not apply to any Confidential Information which:*

(a) is at the date of this Agreement, or at any time after that date becomes, publicly known other than through the Receiving Party's breach of this Agreement;

(b) can be shown by the Receiving Party to the reasonable satisfaction of the Disclosing Party to have been known by the Receiving Party before the date of disclosure by the Disclosing Party;

(c) is received by the Receiving Party from a third party who did not acquire it in confidence and who is free to disclose it without restriction; or

(d) is independently developed by the Receiving Party without access to, use of, or reference to the Confidential Information, as evidenced by contemporaneous written records.

Clause 5 — Compulsory Disclosure

5.1 *The Receiving Party may disclose Confidential Information to the extent required by:*

(a) any order of any court of competent jurisdiction;

(b) any regulatory, governmental, or supervisory body having jurisdiction over the Receiving Party; or

(c) applicable law or regulation,

provided that, to the extent permitted by law, the Receiving Party shall first notify the Disclosing Party in writing of such requirement and shall consult with the Disclosing Party as to the form, content, and timing of such disclosure with a view to minimising the extent of disclosure.

Clause 6 — Intellectual Property

6.1 *No right or licence is granted to the Receiving Party in or under any trade mark, patent, copyright, design right, database right, or other intellectual property right of the Disclosing Party, save the right to use the Confidential Information solely for the Permitted Purpose in accordance with this Agreement.*

6.2 *All Confidential Information shall remain the property of the Disclosing Party. The Receiving Party acknowledges that the Confidential Information is and shall at all times remain the sole property of the Disclosing Party.*

Clause 7 — Return and Destruction

7.1 *The Disclosing Party may at any time by notice in writing require the Receiving Party to:*

(a) return to the Disclosing Party all documents, materials, and records in any form containing, reflecting, or derived from Confidential Information; and/or

(b) destroy all such documents, materials, and records and provide the Disclosing Party with a certificate of destruction signed by a duly authorised officer of the Receiving Party.

7.2 *The Receiving Party shall comply with any such notice within fourteen (14) days of receipt.*

7.3 *Notwithstanding Clause 7.1, the Receiving Party may retain copies of Confidential Information to the extent required by applicable law or regulation, or by the rules of any relevant professional body, provided that such retained copies shall remain subject to the terms of this Agreement.*

Clause 8 — No Warranty or Representation

8.1 *The Disclosing Party makes no express or implied representation or warranty as to the accuracy, reliability, or completeness of any Confidential Information.*

8.2 *The Disclosing Party shall not be liable for any loss or damage suffered by the Receiving Party or any other person as a result of the Receiving Party's reliance upon any Confidential Information.*

Clause 9 — Remedies

9.1 *Without prejudice to any other rights or remedies that the Disclosing Party may have, the Receiving Party acknowledges and agrees that damages alone would not be an adequate remedy for any breach of this Agreement.*

9.2 *Accordingly, the Disclosing Party shall be entitled to seek the remedies of injunction, specific performance, and other equitable relief for any threatened or actual breach of the provisions of this Agreement.*

Clause 10 — Duration

10.1 *This Agreement shall come into force on the date first written above and shall continue in force for a period of two (2) years unless terminated earlier by either Party giving to the other not less than thirty (30) days' prior written notice.*

10.2 *The obligations of confidentiality contained in this Agreement shall survive termination or expiry of this Agreement and shall continue to bind the Parties for a period of four (4) years from the date of each disclosure of Confidential Information.*

Clause 11 — General

11.1 Entire Agreement. *This Agreement (together with the documents referred to in it) constitutes the entire agreement between the Parties relating to the subject matter hereof and supersedes all previous agreements, arrangements, and understandings between the Parties in respect of that subject matter.*

11.2 Variation. *No variation of this Agreement shall be effective unless it is in writing and signed by or on behalf of each of the Parties.*

11.3 Waiver. *No failure or delay by a Party to exercise any right or remedy provided under this Agreement or by law shall constitute a waiver of that or any other right or remedy, nor shall it prevent or restrict the further exercise of that or any other right or remedy.*

11.4 Severance. *If any provision or part-provision of this Agreement is or becomes invalid, illegal, or unenforceable, it shall be deemed modified to the minimum extent necessary to make it valid, legal, and enforceable. If such modification is not possible, the relevant provision or part-provision shall be deemed deleted. Any modification to or deletion of a provision or part-provision under this Clause shall not affect the validity and enforceability of the rest of this Agreement.*

11.5 Assignment. *Neither Party shall assign, transfer, charge, sub-contract, or deal in any other manner with all or any of its rights or obligations under this Agreement without the prior written consent of the other Party.*

11.6 Third Party Rights. *A person who is not a Party to this Agreement shall not have any rights under the Contracts (Rights of Third Parties) Act 1999 to enforce any term of this Agreement.*

11.7 Notices. *Any notice given under this Agreement shall be in writing and shall be delivered by hand or sent by pre-paid first-class post, recorded delivery, or by email to the registered office of the relevant Party. A notice shall be deemed to have been received: if delivered by hand, at the time of delivery; if sent by pre-paid first-class post or recorded delivery, at 9:00 am on the second Business Day after posting; or if sent by email, at the time of transmission provided no delivery failure notification is received.*

Clause 12 — Governing Law and Jurisdiction

12.1 *This Agreement and any dispute or claim (including non-contractual disputes or claims) arising out of or in connection with it or its subject matter or formation shall be governed by and construed in accordance with the law of England and Wales.*

12.2 *Each Party irrevocably agrees that the courts of England and Wales shall have exclusive jurisdiction to settle any dispute or claim (including non-contractual disputes or claims) arising out of or in connection with this Agreement or its subject matter or formation.*

SCHEDULE 1 — DESCRIPTION OF PERMITTED PURPOSE

The Permitted Purpose comprises the evaluation and discussion of a potential collaboration between the Parties in the following areas:

(a) Advanced sensor technologies for industrial applications;

(b) Industrial Internet of Things (IIoT) platform integration;

(c) Data analytics and predictive maintenance solutions; and

(d) Any related technical or commercial matters as the Parties may agree in writing from time to time.

SCHEDULE 2 — FORM OF CONFIDENTIALITY UNDERTAKING FOR AFFILIATES

Any Affiliate to whom Confidential Information is disclosed pursuant to Clause 3.2 shall execute a confidentiality undertaking in the following form (or such other form as the Disclosing Party may reasonably require):

"[Name of Affiliate] hereby undertakes to [Disclosing Party] to be bound by the terms of the Confidentiality Agreement dated [date] between [Hartstem Technologies Ltd. / ABC GmbH] and [ABC GmbH / Hartstem Technologies Ltd.] as if it were a party thereto, and to observe and perform all obligations of the Receiving Party thereunder in respect of any Confidential Information disclosed to it."

IN WITNESS WHEREOF this Agreement has been entered into on the date stated at the beginning of it.

Hartstem Technologies Corp.	**ABC GmbH**
Name: _____	Name: _____
Title: _____	Title: _____
Signature: _____	Signature: _____
Date: _____	Date: _____